No. 23(6)/2008-PD-II/Comp. – Vol.V
Government of India
Ministry of Consumer Affairs, Food and Public Distribution
Department of Food and Public Distribution
………

Krishi Bhawan, New Delhi-110001
Dated the 10th December, 2012

To

(1) Principal Secretary / Secretary,
Department of Food & Civil Supplies,
All States & Union Territories

(2) Director General,
National Informatics Centre,
CGO Complex, New Delhi.

Subject: Administrative approval for implementation of the Plan Scheme on "End-to-End Computerization of TPDS Operations" in all States & UTs under the 12th Five Year Plan (2012-17)

……….

Madam/Sir,

I am directed to convey the administrative approval of Government of India for implementation of the Component-I of the Plan Scheme on "End-to-End Computerization of TPDS Operations" in all States/UTs under the 12th Five Year Plan (2012-17) with an expenditure of Rs. 884.07 crore during the period 2012-17. The cost sharing between Centre and States would be on 90:10 basis for North-eastern States, whereas for other States/UTs costs will be shared on 50:50 basis. Accordingly, share of Government of India and State Governments/UT Administrations are estimated at Rs.489.37 crore and Rs.394.70 crore respectively. A copy of draft Memorandum of Understanding (MoU) which is to be signed between Centre and States / UTs and Centre and National Informatics Centre (NIC) is at **Annexure-IA and IB respectively**. For the implementation of Scheme, the institutional mechanism at Central and State/UT level is given at **Annexure-II** and **Annexure-III** respectively. The Scheme shall also leverage infrastructure / platform created under other projects in operations which are mentioned at **Annexure-IV**. The components of the scheme for which funding is being provided are stated at **Annexure-V**. A list of activities to be carried out under the Plan Scheme and their cost estimates are at **Annexure-VI**.

1. Background

Targeted Public Distribution System (TPDS) is aimed at ensuring food security of the people, especially the poor and vulnerable sections. Evaluation studies have pointed out certain shortcomings in its implementation, such as leakages and diversion of foodgrains, inclusion and exclusion errors in identification of beneficiaries, etc. Government has taken measures to address these shortcomings but it is felt that computerisation of TPDS will be an important step to bring transparency to the system.

Two pilot schemes had been undertaken under the 11th Plan period by Central Government. A Non-plan scheme for 'Smart Card based delivery of Essential Commodities' was approved to be implemented on pilot basis in Chandigarh UT and State of Haryana with an expenditure of Rs. 142.29 crore. Another pilot Plan scheme for 'Computerisation of TPDS Operations', was approved by the Planning Commission with an outlay of Rs. 376.00 crore. The scheme is being implemented on pilot basis in three districts each of Assam, Andhra Pradesh, Chhattisgarh and Delhi and in the Department of Food & Public Distribution (DoF&PD) with an outlay of Rs. 53.47 crore. These pilot schemes are presently at various stages of implementation.

Hon'ble Supreme Court in WP(C) No. 196/2001- PUCL v/s Union of India and Others has issued directions from time to time regarding computerisation of TPDS. In order dated 27.07.2010, Hon'ble Supreme Court directed that there must be total computerisation of the PDS on top priority basis; that Union of India must prepare a software and the same software should be used by all the States. In its order dated 14.09.2011, the Hon'ble Supreme Court inter-alia directed that Government of India would ensure that the computerization of PDS is provided necessary infrastructure and financial support.

As per the decision taken in the meeting of the Apex Committee held on 20.07.2011 under the Chairmanship of Cabinet Secretary, Computerization of TPDS has been included as a Mission Mode Project (MMP) under the National e-Governance Plan (NeGP).

A meeting of the Expenditure Finance Committee (EFC) was held on 06.09.2012 to consider the proposed scheme. During the EFC meeting, it was decided that while activities being taken up under Component-I which comprises digitization of ration cards/ beneficiary and other databases, computerization of supply-chain management, setting up of transparency portal and grievance redressal mechanism could be implemented by all States/UTs in the first stage, the activities under Component-II i.e. FPS automation should be taken up after taking into consideration various factors like coverage & linkage with UIDAI/NPR data, availability of connectivity at FPSs, finalization of Smart Card standards, etc. Accordingly, EFC concurred with the funding requirement proposed for Component-I during 2012-17 amounting to Rs. 884.07 crore.

In the meeting held on 04.10.2012, Cabinet Committee on Economic Affairs (CCEA) has approved the Plan Scheme for implementation during 12th Five Year Plan with a total cost of Rs.884.07 crore, out of which Government of India's share is Rs. 489.37 crore and States/UTs share is Rs.394.70 crore.

2. Objectives:

TPDS encompasses the process of allocation of foodgrains, storage, beneficiary identification and management of delivery of foodgrains to beneficiaries. It operates in more than 650 districts across 35 States/UTs through a network of over 5 lakh FPSs. As a result, there are multiple stakeholders involved at various levels in operations of TPDS, namely, Central Government, State Governments/UT Administrations, Food Corporation of India (FCI), State Civil Supplies Corporations, other agencies at State level, FPS dealers, beneficiaries, etc. For better coordination among various agencies for ensuring timely delivery of foodgrains at FPS level, it is necessary that information regarding movement of foodgrains is available on a common platform. Huge difference between cost of the foodgrains and CIPs creates incentives for leakages and diversions. With computerisation of supply-chain, the movement of foodgrains upto FPS level can be tracked and the problem of leakage and diversion can be addressed. Digitisation of beneficiary database will help in weeding out the bogus ration cards and better targeting of subsidies. Facilities of SMSs, e-mails, toll free numbers will be used to inform the beneficiary about the availability of the TPDS supplies in the FPS, which will ensure timely and transparent distribution of foodgrains to beneficiaries as per their entitlement. Transparency portal and social audit will further strengthen the functioning of FPSs and ensure accountability at various levels. Beneficiaries will also be able to register their grievances through toll free numbers and seek its resolution.

The key components of the scheme on End-to-end Computerisation of TPDS Operations and their respective expected outcomes are briefly described as below:

(i) Digitization of beneficiary and other databases
   a. Correct identification of beneficiaries
   b. Reduction in inclusion/exclusion errors
   c. Elimination of bogus/ineligible cards

(ii) Computerisation of Supply Chain Management
   a. Minimise leakages/diversion of foodgrains
   b. Encourage transparency
   c. Improve availability of foodgrains at FPS

(iii) Setting up of Transparency portal and Grievance Redressal mechanisms
   a. Minimise inclusion/exclusion errors
   b. Elimination of bogus/ineligible cards
   c. Facilitation of social audit and ensure that beneficiaries receive their entitlement

3. Description of the key activities under the Scheme

The key components under the Scheme are briefly described as below:

A. **Digitization of beneficiary & other databases –**

i. Digitization of all data must be undertaken by using appropriate application software. Masters relating to Stakeholders including F&CS Offices, FPSs, Godowns / Depots, Card Types, Wholesalers, Lead Societies, FPS dealers, etc. will help States/UTs maintain a central repository of all PDS stakeholders which can further be used by other applications. Software prepared by NIC (SIMS/ERCMS) or any other agency may be used.

ii. Digitisation of beneficiary database is to be undertaken which should be verified by comparing with other databases like UIDAI, NPR, SECC, Census, electoral data, etc. Seeding of Aadhaar number in the beneficiary database would help in eliminating duplicates. This will result in creation of centralised database at State level with clear processes for its updation. The process will facilitate online addition, deletion and updation of Ration Cards and issuance of new Ration Cards. States/UTs should adopt workflow based approach for issuance/modification/cancellation of ration cards based on the digitized data, using either the software developed by NIC (ERCMS) or by any other agency.

iii. All these databases must have inter-linkages amongst them and hosted by each State/UT on their respective transparency portals in the public domain without restrictions on their access. Linkages of State/UT Transparency Portal database should be given to the National PDS Portal.

iv. Data digitization should conform to the standards prepared by NIC.

B. **Computerisation of Supply Chain Management –** This involves use of ICT tools for tracking of movement of allocated foodgrains at both the stages i.e. from FCI to intermediary storage / distribution points and further to FPSs. The key activities under this component are described hereunder:

i. Foodgrains receipt and issuance should be entered into the system and thus, stock position of PDS commodities for all godowns would be created which can be monitored at State/UT level.

ii. States/UTs to generate the district-wise, tehsil-wise or FPS-wise online allocation orders on the basis of information such as their allocation policy, FPS-wise / scheme-wise Ration Card count and closing balance of foodgrains at FPS. The commodity wise allocation order should be generated at the F&CS Hqrs. based on the digitised beneficiary data and sent to all concerned officers at FCI and districts through online system.

iii. For movement of foodgrains from FCI to State Godowns, State / UT should computerize the operations like receipt of payment from State agencies, generation of release order against allocation, generation of truck-challan, gate-pass and capturing the information pertaining to the receipt of goods by State agencies. Information related to foodgrains lifting from FCI shall be made available to State agencies through website/ online application.

iv. For movement of foodgrains from State Godown to FPSs, State / UTs should computerise operations regarding receiving foodgrains from FCI, receiving payment from State agencies/ FPS dealer, issuance at State depot, generation of delivery order, generation of truck-challan, gate-pass and recording the acknowledgement receipt received from FPS dealer. Using application modules, SMS notification should also be sent to the concerned FPS dealers / registered beneficiaries regarding dispatch of commodities and receipt of FPSs. Information related to commodity lifting shall also be made available on website.

C. **Setting up of Transparency Portal and Grievance Redressal –**

i. All States & UTs will develop a single transparency portal which should have all TPDS related data and information available for public view without restriction on access and the same should be widely publicized. The transparency portal would host information in public domain, such as lists of beneficiaries, FPSs, Storage godowns / depots, F&CS offices / officers, monthly allocation, actual off-take, etc. The reporting formats sent to States/UTs by DoF&PD vide letter dated 11.09.2012 should be adopted for hosting the various reports on their portals. The content on the portal must be in the local language of the State/UT as well as in English wherever possible. Information about availability of foodgrains will also be disseminated through SMS / email to the registered beneficiaries and other pre-identified individuals in the local community.

ii. A toll-free helpline number is to be set up by each State/UT for grievance registration and redressal. This number should be widely publicized throughout the State/UT. The provision of registration, receipt of acknowledgement and tracking of public grievances must also be available on transparency portal and through SMS facility. A dedicated team may be deployed by the States/UTs for addressing the grievances of the individuals.

4. Implementation Model:

NIC shall be the Implementation Agency for Centre i.e. the Department of Food & Public Distribution. NIC will provide the application software(s) for Centre &

States/UTs under this Scheme. NIC would carry out the configuration/customisation of the Application Software for meeting the requirements of the respective State/UT and also facilitate its roll-out in States/UTs in a time bound manner. NIC would also provide training to State F&CS Officers/staff on the technology solution for PDS Computerisation.

States / UTs may choose NIC as their complete technology solution partner for end-to-end computerisation of TPDS including implementation of project or choose NIC application modules / services in whole or in part as per their requirements. The States/UTs would have the option to either undertake the implementation themselves, or through NIC or hire System Integrators (SIs) for rolling out the technology solution at State level. Such SIs shall be selected though open bid process by the respective States / UTs. The detailed scope of SI's work shall be defined by the States/UTs in consultation with NIC. Well defined Service Level Agreements (SLAs) with clearly identified deliverables and timelines shall be prepared by each State/UT.

A MoU will be signed between DoF&PD and each State & UT Governments represented by Principal Secretary/ Secretary, Department of Food and Civil Supplies. The MoU will include details of respective roles and responsibilities of the Centre and State/UT Governments, terms and conditions of release of funds, etc. The template for MoU is at **Annexure-IA.**

A MoU will also be signed between DoF&PD and also with NIC. The MOU will delineate the roles and responsibilities of DoF&PD and NIC, terms and conditions of release of funds, etc. The draft MoU is at **Annexure-IB**.

5. Implementation timelines

The original timelines stipulated for digitization of beneficiary and other databases and computerization of supply-chain were October 2012 and March 2013 respectively. As progress among States/UTs had been slow and uneven, based on discussions with States/UTs, these timelines have been re-fixed to March 2013 and October 2013 respectively. State Transparency Portals and Grievance Redressal Mechanisms for PDS would be setup on priority by all the States & UTs.

6. Monitoring of Scheme implementation.

(a) At the level of DoF&PD

An Empowered Committee (EC) and a Central Project e Mission Team (CPeMT) have been constituted in this Department vide orders dated 17.10.2011. The Empowered Committee is headed by Secretary (DoF&PD) and Jt. Secretary (DoF&PD) is the Mission Team leader in the CPeMT. The composition of institutional mechanism in the DoF&PD is given at **Annexure-II.**

(b) At State /UT level

Secretary (Food & Public Distribution) vide D.O. letter dated 11.11.2011 has requested the Chief Secretaries of all States/UTs to establish a two tier structure at the States/UTs level consisting of State Apex Committee (SAC) under the Chairmanship of Chief Secretary and a State Project e-Mission Team (SPeMT) under the Chairmanship of Secretary in charge of the Department of Food & Civil Supplies. The proposed composition of institutional mechanism at State / UT level is given at **Annexure- III.**

7. Evaluation of the scheme

Assessment of the Scheme through third party shall be carried out after three years i.e. during 2015-16. DoF&PD will issue the necessary guidelines / instructions to States / UTs for the same.

8. Leveraging of other schemes

The Scheme on End-to-end Computerisation of TPDS operations shall leverage infrastructure / platform created under other projects in operations, which are mentioned at **Annexure-IV**.

9. Release of funds

The financial support from Government of India to the States/UTs under this Scheme would be on cost sharing basis. The cost sharing between Centre and States would be on 90:10 basis for the North-eastern States, whereas for other States/UTs costs will be shared on 50:50 basis. Accordingly, share of Government of India and State Governments/UT Administrations are estimated at Rs.489.37 crore and Rs.394.70 crore respectively. The components of the scheme and their respective sub-components for which funding is being provided are stated at **Annexure-V.** The actual fund allocations for the States / UTs would be finalised after the receipt of their financial proposals and assessment of the same by the Department. The States & UTs have been requested to send their financial proposals at the earliest. States / UTs would work out their financial requirements in terms of list of activities and their cost estimates prepared by the Department in consultation with NIC, a copy of which has been provided to States / UTs (Copy at Annexure-VI). The Central share under the scheme would not exceed the funds as given in this administrative approval.

Central share of funds would be released to the F&CS Departments of States & UTs in three instalments of 60%, 30% and 10%. The Central share will be released to States / UTs subject to the conditions as given in table below:

Release of Central Share of funds	Conditions to be met by States / UTs
(A) First instalment of 60%	1. Submission of State specific proposal as per template provided by DoF&PD 2. Signing of MoU between State / UT and DoF&PD 3. Setting up of institutional mechanism at State / UT level i.e. - formation of State Apex Committee and SPeMT 4. Furnishing of Utilisation Certificates (UCs) by States / UTs concerned for funds released under the two pilot Schemes.
(B) Second instalment of 30%	1. Operationalisation of all components envisaged under the scheme across the State i.e. (a) Complete digitization of beneficiary and other databases (b) Computerization of Supply-chain management (c) Setting up of Transparency Portal and (d) Grievance redressal mechanisms 2. Submission of Utilisation Certificate (UCs) of the funds released by DoF&PD as first instalment 3. Released of matching funds i.e. 60% of State/UT share 4. Testing of all modules of application software by STQC
(C) Final instalment of 10%	1. Submission of Utilisation Certificate (UCs) of the funds released by DoF&PD as second instalment 2. Release of balance matching funds i.e. 40% of State/UT share 3. Assessment of the scheme as per DoF&PD's guidelines / instructions

Funds shall be released to NIC by DoF&PD as per the table below, subject to submission of expenditure statement / utilization certificates etc.:

(in Rs. crore)

Year 1	Year 2	Year 3	Year 4	Year 5	Total
3.57	2.92	2.18	1.82	1.82	**12.31**

The detailed terms & conditions governing the release of the Central share of funds are included as part of MoU between DoF&PD and States /UTs and NIC respectively. Release of Central share of funds by DoF&PD shall also be subject to availability of funds under the scheme within the budgetary resources of the Department.

It is requested that necessary action be taken on priority for expeditious implementation of the Scheme.

Yours faithfully,

(Deepak Kumar)
Joint Secretary to the Government of India

Copy to:-

1. Secretary, Planning Commission, Yojana Bhawan, New Delhi
2. Secretary, Deptt. of Expenditure, Government of India. New Delhi
3. Secretary, Deptt. of Electronics & Information Technology, Government of India., New Delhi
4. CMD, Food Corporation of India, New Delhi
5. DG, National Informatics Centre, Lodhi Road Complex, New Delhi.
6. The Chief Controller of Accounts, Department of Food & Public Distribution, New Delhi

Copy also to:-

1. PS to MoS (I/C), Consumer Affairs, Food and Public Distribution
2. PPS to Secretary (F&PD), Deptt. of Food and PD, Govt. of India, New Delhi
3. PS to AS&FA, Deptt. of Food and PD, Govt. of India, New Delhi
4. PS to JS (BPPD), Department of Food & PD, Govt. of India, New Delhi
5. Budget Section
6. PD-I & PD-II Section, Deptt. of Food and PD, Govt. of India, New Delhi
7. Guard File
8. Sanction Folder.

Annexure-IA

Draft - MEMORANDUM OF UNDERSTANDING with States & UTs

This Memorandum of Understanding (MoU) is drawn on the_______ day of ______ 2012 between the Department of Food and Public Distribution, Ministry of Consumer Affairs, Food & Public Distribution. Government of India, having its office in Krishi Bhawan, New Delhi (here after referred to as "**DoF&PD**"), of the FIRST PART, represented by_______________________,

AND

State Government /UT Administration of _____________ having its office at _____________ (here after referred to as "State Government /UT Administration"), of the SECOND PART, represented by Principal Secretary / Secretary Department of Food & Civil Supplies, _____________.

DoF&PD and State Government /UT Administration are individually referred to as "Party" and collectively as the "Parties"

The Plan Scheme on 'End-to-end Computerisation of TPDS Operations' under the 12th Five Year Plan is hereafter referred to as Scheme.

WHEREAS:

A. DoF&PD has issued Administrative Approval for implementation of the Scheme in all States/UTs on cost sharing-basis; the administrative approval covers objectives, description of key activities, implementation model, implementation timelines, monitoring mechanisms, scheme evaluation, release of funds, terms & conditions, etc.
B. State Government /UT Administration realize that the Scheme will improve service delivery mechanisms in supply-chain of foodgrains, improve effectiveness and efficiency in TPDS operations and achieve better information management and bring transparency into the system.
C. Food & Civil Supplies Department of State Government /UT Administration of ___________is the Nodal Agency (State Nodal Agency) for fund management and project monitoring at state level. Funds will be released under scheme by DoF&PD to the State Government /UT Administration for the duration of the Scheme as specified in administrative approval.
D. The actual allocation / release of funds from DoF&PD to State Government /UT Administration would be determined on the basis of the financial proposal submitted by the State Government /UT Administration and the actual utilization of funds in the State/UT in alignment with approval order and subsequent financial sanctions.
E. Under the Scheme, State Government /UT Administration agree to bear their share of funds i.e. 10% in case of North-Eastern States and 50% for other States/UTs. State Government /UT Administration agrees to own the infrastructure created and bear all expenses incurred in ownership, operation

and management of the Scheme, including for the period beyond the duration of the scheme.

F. In pursuance of the aforesaid, the Parties hereto wise to record under this Memorandum of Understanding (MoU), the terms of their mutual understanding in order to implement the Scheme called End-to-end Computerisation of TPDS Operations.

NOW THEREFORE THE PARTIES HERETO AGREE AS UNDER:

ARTICLE 1 - SCOPE OF THE MoU

I. The activities and the expected outcomes under the Scheme are briefly described as below:

a) Digitization of beneficiary & other databases –

i. Digitization of all data must be undertaken by using appropriate application software. Masters relating to Stakeholders including F&CS Offices, FPSs, Godowns / Depots, Card Types, Wholesalers, Lead Societies, FPS dealers, etc. will help States/UTs maintain a central repository of all PDS stakeholders which can further be used by other applications. Software prepared by NIC (SIMS/ERCMS) or any other agency may be used.

ii. Digitisation of beneficiary database is to be undertaken which should be verified by comparing with other databases like UIDAI, NPR, SECC, Census, electoral data, etc. Seeding of Aadhaar number in the beneficiary database would help in eliminating duplicates. This will result in creation of centralised database at State level with clear processes for its updation. The process will facilitate online addition, deletion and updation of Ration Cards and issuance of new Ration Cards. States/UTs should adopt workflow based approach for issuance/modification/cancellation of ration cards based on the digitized data, using either the software developed by NIC (ERCMS) or by any other agency.

iii. All these databases must have inter-linkages amongst them and hosted by each State/UT on their respective transparency portals in the public domain without restrictions on their access. Linkages of State/UT Transparency Portal database should be given to the National PDS Portal.

iv. Data digitization should conform to the standards prepared by NIC.

b) Computerisation of Supply Chain Management – This involves use of ICT tools for tracking of movement of allocated foodgrains at both the stages i.e. from FCI to intermediary storage / distribution points and further to FPSs. The key activities under this component are described hereunder:

i. Foodgrains receipt and issuance should be entered into the system and thus, stock position of PDS commodities for all godowns would be created which can be monitored at State/UT level.

ii. States/UTs to generate the district-wise, tehsil-wise or FPS-wise online allocation orders on the basis of information such as their allocation policy, FPS-wise / scheme-wise Ration Card count and closing balance of foodgrains at FPS. The commodity wise allocation order should be generated at the F&CS Hqrs. based on the digitised beneficiary data and sent to all concerned officers at FCI and districts through online system.

iii. For movement of foodgrains from FCI to State Godowns, State / UT should computerize the operations like receipt of payment from State agencies, generation of release order against allocation, generation of truck-challan, gate-pass and capturing the information pertaining to the receipt of goods by State agencies. Information related to foodgrains lifting from FCI shall be made available to State agencies through website/ online application.

iv. For movement of foodgrains from State Godown to FPSs, State / UTs should computerise operations regarding receiving foodgrains from FCI, receiving payment from State agencies/ FPS dealer, issuance at State depot, generation of delivery order, generation of truck-challan, gate-pass and recording the acknowledgement receipt received from FPS dealer. Using application modules, SMS notification should also be sent to the concerned FPS dealers / registered beneficiaries regarding dispatch of commodities and receipt of FPSs. Information related to commodity lifting shall also be made available on website.

c) Setting up of Transparency Portal and Grievance Redressal –

i. All States & UTs will develop a single transparency portal which should have all TPDS related data and information available for public view without restriction on access and the same should be widely publicized. The transparency portal would host information in public domain, such as lists of beneficiaries, FPSs, Storage godowns / depots, F&CS offices / officers, monthly allocation, actual off-take, etc. The reporting formats sent to States/UTs by DoF&PD vide letter dated 11.09.2012 should be adopted for hosting the various reports on their portals. The content on the portal must be in the local language of the State/UT as well as in English wherever possible. Information about availability of foodgrains will also be disseminated through SMS / email to the registered beneficiaries and other pre-identified individuals in the local community.

ii. A toll-free helpline number is to be set up by each State/UT for grievance registration and redressal. This number should be widely publicized throughout the State/UT. The provision of registration, receipt of acknowledgement and tracking of public grievances must also be available on transparency portal and through SMS facility. A dedicated team may be deployed by the States/UTs for addressing the grievances of the individuals.

II. Implementation Plan

- Digitization of beneficiary and other databases by March, 2013
- Computerization of supply-chain by October, 2013
- State Transparency Portals and Grievance Redressal Mechanisms for PDS would to be setup on priority by all the States & UTs.

III. The implementation strategy for the Scheme is as follows:

NIC shall be the Implementation Agency for Centre i.e. the Department of Food & Public Distribution. NIC will provide the application software(s) for Centre & States/UTs under this Scheme. NIC would carry out the configuration/customisation of the Application Software for meeting the requirements of the respective State/UT and also facilitate its roll-out in States/UTs in a time bound manner. NIC would also provide training to State F&CS Officers/staff on the technology solution for PDS Computerisation.

States / UTs may choose NIC as their complete technology solution partner for end-to-end computerisation of TPDS including implementation of project or choose NIC application modules / services in whole or in part as per their requirements. The States/UTs would have the option to either undertake the implementation themselves, or through NIC or hire System Integrators (SIs) for rolling out the technology solution at State level. Such SIs shall be selected though open bid process by the respective States / UTs. The detailed scope of SI's work shall be defined by the States/UTs in consultation with NIC. Well defined Service Level Agreements (SLAs) with clearly identified deliverables and timelines shall be prepared by each State/UT.

ARTICLE 2 – INSTITUTIONAL MECHANISM FOR THE SCHEME

IV. A two tier structure will be setup at the States/UTs level consisting of State Apex Committee under the Chairmanship of Chief Secretary and a State Project e-Mission Team under the Chairmanship of Secretary in charge of the Department of Food & Civil Supplies.

V. The roles and responsibilities to be discharged by the Parties and other Stakeholders shall be as follows:

   a) State Government /UT Administrations shall undertake monthly review of the work done in the States/ UTs.
   b) The State Government /UT Administration shall furnish to the DOF&PD, a quarterly progress on the Scheme implementation & operations.
   c) States / UTs will depute a Nodal Officer for the end-to-end Computerisation of TPDS Operations.

<u>ARTICLE 3 - Roles and Responsibilities</u>

a) Department of Food & Public Distribution

Government of India through Department of Food and Public Distribution (DoF&PD), Ministry of Consumer Affairs, Food and Public Distribution is the owner of the project at the National level. It would have the following roles and responsibilities in the project:

i. Policy formulation and changes as required for the development and implementation of the project
ii. Conceptualization, providing guidelines & directions for Computerization of TPDS
iii. Support & coordinate with States / UTs, NIC, FCI other stakeholders
iv. Review & Monitor project progress
v. Provide Centre’s share of requisite funding to States / UTs
vi. Provide timely approvals and sanctions
vii. Ensure timely approval on the deliverables/ proposals submitted by stakeholders
viii. Resolution of disputes that may arise between various stakeholders
ix. Online allocation of foodgrains in States / UTs
x. Selection / setting up of Central PMU

b) State Governments / UT Administration (through respective Food & Civil Supplies Deptts.)

State / UT Food and Civil Supplies Departments would own the project at the State/ UT level. They would be responsible for driving the project and provide leadership to the stakeholders involved at their level. The following roles and responsibilities shall rest with States / UTs:

i. Ownership for implementation of end-to-end Computerisation in the State / UT
ii. Leadership during project implementation including creation of Institution mechanism for monitoring the project
iii. Support & coordinate with NIC for smooth & timely implementation
iv. Preparation of Action Plan / DPR as per the guidelines issued by Central Government
v. Selection of State level PMU and Implementation Agency, if any
vi. Review of the deliverables by NIC / implementation agency
vii. Relevant policy changes as required for the development and implementation of the project at the State level
viii. Commit appropriate funds to be given as States / UTs share
ix. Provide funds and support to NIC / implementation agency for implementation & operations
x. Ensure regular use of workflow based application modules for Supply Chain Management and Ration Card management in terms of updation/entry of data on real time basis
xi. Report project implementation progress to Government of India
xii. Report fund utilization to Government of India
xiii. Identification and finalization of State Data Centre sites
xiv. Ensure timely approval to the deliverables submitted by stakeholders
xv. Resolution of disputes that may arise between various stakeholders at State / UT level

c) Food Corporation of India

Food Corporation of India (FCI) shall be a key player in the proposed TPDS Computerisation project. Computerisation of Supply Chain involves the tracking of movement of foodgrains from the base depot of FCI up to the Fair Price Shop. To facilitate this process, it is essential that the release of foodgrains from the base depot of FCI be monitored online. Thus the integration of FCI's Release Order module as well as other proposed operational modules under FCI's IISFM project with TPDS supply chain module must be done. The integration of the two systems will be based on application software which is being developed by NIC for FCI under IISFM project and shall be taken up by them in consultation with States / UTs. FCI shall also ensure correct and timely data entry and sharing of the same with State / UTs. FCI will also support and cooperate with NIC and Department of Food & Public Distribution for the required information.

d) National Informatics Centre (NIC)

NIC has developed a Common Services Platform (including software application) for TPDS which can be used by all the States/ UTs to computerize its TPDS operations. The software application has been integrated with the FCI Stock movement Module. NIC shall operate through its local offices in each State/UT to ensure support for managing State/UT-wise complexities and variations.

It has to be ensured that all technology solutions developed for end-to-end Computerisation of TPDS operations are integrated, allow seamless data exchange, and should be inter-operable, while being based on open standards. At the national and inter-State levels, NIC will take necessary measures for ensuring inter-operability; prescribe common standards / specifications for data / metadata elements, Point of Sale (PoS) devices, Bio-metrics, Minutiae, Smart Cards, Bar-code, Aadhaar integration, etc. wherever applicable; accessibility of State related data on internet in public domain through a Central portal, executive dashboard for monitoring progress of computerisation, creating and maintaining single unified information system including Management Information System (MIS), etc. NIC shall also ensure appropriate online allocation by DoF&PD and the integration of FCI's IISFM with States / UTs for computerisation of supply-chain.

e) NIC or any other partner agency selected by State / UT

i. Design, develop and provide required application software / modules for end-to-end Computerisation to States / UTs
ii. Knowledge transfer / sharing, training to State Governments / NIC State units regarding application software / modules including customisation of the same as per their needs
iii. Provide support handholding / support for implementation of application software at State / UT level
iv. Provide maintenance and support for application software
v. Ensure quality of deliverables
vi. Cooperation with States & UTs, & Centre and SIOs of NIC

ARTICLE 4 - EVALUATION OF THE SCHEME

VI. Assessment of the Scheme through third party shall be carried out after three years. DoF&PD will finalise and issue necessary instructions / guidelines to States / UTs for the same.

ARTICLE 5 - TERMS AND CONDITIONS GOVERNING RELEASE OF THE CENTRAL SHARE FUNDS

The disbursement of Central share of funds under the scheme to States & UTs shall be subject to the following conditions:-

i) The grant amount shall be spent only for capital and operational expenditure on scheme related activities within the specified time.

ii) Any portion of the grant which is ultimately not required for expenditure for the approved purposes, shall be duly surrendered to the Department of Food and Public Distribution.

iii) Funding for the Scheme should not result in mere purchase of hardware without being backed by appropriate application software with required functionality to achieve the outcomes of the scheme.

iv) The State Government /UT Administration will appoint STQC of DeitY or any other Government designated agency for third-party audit of the application developed by implementation agency under intimation to Government of India.

v) The State Government /UT Administration shall maintain an audited record in the form of a register for permanent and semi-permanent assets acquired solely or mainly for the Scheme.

vi) The assets referred to in (v) above will the property of Department of Food & Civil Supplies of the State / UT Government and should not, without prior sanction of DoF&PD, GoI be disposed of or encumbered or utilized for purposes other than those for which the grant has been sanctioned.

vii) The State Government /UT Administration shall send to the DOF&PD at the end of each financial year as well as at the time of seeking further releases of instalments of the grant, a list of assets referred to in (v) above.

viii) The State Government /UT Administration shall render progress-cum-achievement reports at interval of not exceeding three months on the progress made on all aspects of the Scheme including expenditure incurred on various approved items during the period of scheme implementation.

ix) The State Government /UT Administration shall render an annual audited statement of accounts to DoF&PD.

x) The audited statement of accounts relating to funds given during financial year together with the comments of the auditor regarding the observance of the conditions governing the funds should be forwarded to the Department of Food & Public Distribution within six months following the end of the relevant financial year.

xi) The utilization of grant for the intended purposes will be looked into by the Accountant General for compliance with the directives issued by the Government of India at the instance of the Comptroller and Auditor General and the specific mention about it will be made in the audit report.

xii) DoF&PD or its nominee/s will have the right to access to the books and accounts of the State Government /UT Administration for which a reasonable prior notice would be given.

xiii) State / UT Government would abide by any directions/advice issued by DoF&PD, Government of India during the implementation and operational phases of the project.

xiv) The State Government /UT Administration shall maintain separate earmarked audited accounts for the Scheme. If it is found expedient to keep a part or whole of the funds in a bank account earning interest, the interest, thus earned should be reported to this Department. The interest so earned will be treated as a credit to the State Government to be adjusted towards future installment of the grant.

xv) DoF&PD will have the right to call for drawings, specifications and other data necessary to enable the transfer of know-how to other parties and the State or UT Govt./nodal agency shall supply all the needed data at the request of DoF&PD. The work specification and scope as defined under the Scheme shall be the final & changes or additions, if any, introduced by State Governments, shall be at their expense.

xvi) In case of any dispute on any matter related to the Scheme during the course of its implementation, the decision of DoF&PD, Government of India shall be final and binding on the State Government.

IN WITNESS WHEREOF the parties, through their authorised signatories, to these presents have hereunto set and subscribed their respective hands and seals on the th day of 2012.

For and on behalf of	For and on behalf of
Department of F&PD Government of India	Department of Food & Civil Supplies, State Government / UT Administration of ______________________________
Name: Designation: Joint Secretary Date: Place: New Delhi	Name: Designation: Principal Secretary / Secretary Date: Place: NEW DELHI
WITNESSES:	WITNESSES:
1. ____________________ 2. ____________________	1. ____________________ 2. ____________________

Annexure-IB

Draft - MEMORANDUM OF UNDERSTANDING with NIC

This Memorandum of Understanding (hereinafter 'MoU') is made on this day of , 2011, by and between:

(i) Department of Food & Public Distribution, Ministry of Consumer Affairs, Food & Public Distribution, Government of India, located at Krishi Bhawan, Dr. Rajendra Prasad Marg, New Delhi; (hereinafter referred to as '**DoF&PD**') of the FIRST PART

AND

(ii) National Informatics Centre, an agency of Department of Electronics & Information Technology, Government of India, located at CGO Complex, Lodi Road, New Delhi (hereinafter referred to as '**NIC**') of the SECOND PART.

DoF&PD and NIC are individually referred to as "Party" and collectively as the "Parties"

The Plan Scheme on 'End-to-end Computerisation of TPDS Operations' under the 12th Five Year Plan is hereafter referred to as Scheme.

Under the Scheme, the application software and its sub-modules developed by NIC and to be implemented in States & UTs is collectively hereafter referred to as PDS Common Application Software (PDS-CAS).

WHEREAS

I. DoF&PD has issued Administrative Approval for implementation of the Scheme in all States/UTs on cost sharing-basis; the administrative approval covers objectives, description of key activities, implementation model, implementation timelines, monitoring mechanisms, scheme evaluation, release of funds, terms & conditions, etc.

II. The Scheme will improve service delivery mechanisms in supply-chain of foodgrains, improve effectiveness and efficiency in TPDS operations and achieve better information management and bring transparency into the system.

III. In pursuance of the aforesaid, the Parties hereto record under this Memorandum of Understanding (MoU), the terms of their mutual understanding in order to implement the Scheme.

IV. The Scheme would be implemented as per the implementation strategy defined in the administrative approval.

NOW THEREFORE THE PARTIES HERETO AGREE AS UNDER

ARTICLE 1 - SCOPE OF THE MoU

I. NIC shall be the Implementation Agency for Centre i.e. the Department of Food & Public Distribution under the Scheme.

II. NIC will provide PDS-CAS to Centre and States & UTs under the Scheme.

III. NIC would provide standards for PDS including data / metadata, software protocols and platforms; specifications for point of sale (PoS), bio-metrics, minutiae, Smart card, bar code, NPR/Aadhaar integration, etc. , create documentation and setup technical help desk in regard to application software, etc.

IV. Under the scheme in regard to PDS-CAS, and other aspects, NIC shall:

a. Design, develop, customise / configure, test, operate and maintain the PDS-CAS.

b. Conduct gap analysis for States & UT, configure/ customize PDS-CAS for meeting the State & UT specific requirements.

c. Provide implementation & handholding support to States/UTs or their designated agencies in respect of PDS-CAS provided under the scheme.

d. Assist the States & UTs for planning and hosting the PDS application software at State Data Centres / National Data Centre with Business Continuity Plan in secured environment.

e. Integrate PDS-CAS with the existing /legacy application(s) of the States/UTs. This may include migration of existing data, handholding support etc. to States & UTs or their designated agencies, etc.

f. Provide hands-on training for PDS-CAS to the State F&CS department or their nominees who would provide training to other users of PDS-CAS.

g. Ensure PDS related data is captured and/or generated through CAS or any other State application and the same data is hosted at State Transparency Portal for public access and prepare/ generate MIS reports for the decision makers.

h. Ensure PDS-CAS is error-free and developed as per industry standards.

i. Ensure appropriate support to State & UT Governments for undertaking STQC audit of the application software for PDS.

j. Prepare all necessary documentation relating to PDS-CAS which should be easily accessible to all stakeholders at State level. Such documentation would be regularly updated at routine intervals. The documentation may cover, implementation, configuration / customisation, operations, backup, maintenance, etc. of the PDS-CAS.

k. Ensure that PDS-CAS allow seamless data exchange, is inter-operable and based on open standards. At the National and State/UT levels, NIC shall take necessary measures for ensuring inter-operability; prescribe common standards/specifications for data/metadata elements, etc. wherever applicable; accessibility of State/UT related data on internet in public domain through a Central portal, executive dashboard for monitoring progress of computerisation, creating and maintaining single unified information system including Management Information System (MIS), for Centre and States / UTs, etc.

V. NIC will also ensure that PDS-CAS provides for online allocation of foodgrains by DoF&PD.

VI. Integration will be ensured by NIC with Food Corporation of India (FCI)'s Integrated Information System for Foodgrains Management (IISFM) with States/UTs for computerisation of TPDS supply-chain.

VII. NIC shall ensure that the PDS-CAS has the required functionality to cover the activities stipulated in MoU for the following components:

a. Digitization of beneficiary & other databases
b. Computerisation of Supply Chain Management
c. Setting up of Transparency Portal
d. Grievance Redressal Mechanisms

VIII. NIC would also ensure that all the components of PDS-CAS are implemented as per the timelines stipulated in administrative approval of the scheme.

IX. NIC-PDS shall ensure that all the source code, scripts, etc. associated with PDS-CAS are properly documented, version controlled for each and every State/UT where PDS-CAS has been deployed.

X. NIC to ensure that a Portal Manager is appointed to handle all suggestions/comments received along with management of National PDS Portal.

XI. NIC shall provide operational support to the end-users using telephonic and online support through a suitable Helpdesk system and all support related issues are resolved satisfactorily for the scheme within reasonable time. All support related calls shall be logged. The Helpdesk will also provide online service status tracking facilities to users in respect of their queries. The help desk shall be available from 9.00 am till 6.00 pm from Monday to Saturday. Issues not resolved within the reasonable time shall be brought to the notice of DoF&PD.

V. NIC shall be required to submit all documents related to the PDS-CAS to the States/UTs. The Intellectual Property Rights (IPR) of all software code, data, algorithms, documentation, manuals etc. generated as a part of implementation of this project shall reside with NIC on behalf of DoF&PD.

VI. NIC would also setup an appropriate Technical Group within NIC for carrying out the implementation, which may include NIC teams at NIC HQ, DoF&PD and States / UTs.

XII. Dedicated project heads would be appointed by NIC at NIC HQ and States / UTs for close coordination with the respective Governments.

ARTICLE 2 - Roles and Responsibilities

a. Department of Food & Public Distribution

Government of India through Department of Food and Public Distribution (DoF&PD), Ministry of Consumer Affairs, Food and Public Distribution is the owner of the project at the National level. It would have the following roles and responsibilities in the project:

i. Policy formulation and changes as required for the development and implementation of the project

ii. Conceptualization, providing guidelines & directions for Computerization of TPDS
iii. Support & coordinate with States / UTs, NIC, FCI other stakeholders
iv. Review & Monitor project progress
v. Provide Centre's share of requisite funding to States / UTs
vi. Provide timely approvals and sanctions
vii. Ensure timely approval on the deliverables/ proposals submitted by stakeholders
viii. Resolution of disputes that may arise between various stakeholders
ix. Online allocation of foodgrains in States / UTs
x. Selection / setting up of Central PMU

b. State Governments / UT Administration (through respective Food & Civil Supplies Deptts.)

State / UT Food and Civil Supplies Departments would own the project at the State/ UT level. They would be responsible for driving the project and provide leadership to the stakeholders involved at their level. The following roles and responsibilities shall rest with States / UTs:

i. Ownership for implementation of end-to-end Computerisation in the State / UT
ii. Leadership during project implementation including creation of Institution mechanism for monitoring the project
iii. Support & coordinate with NIC for smooth & timely implementation
iv. Preparation of Action Plan / DPR as per the guidelines issued by Central Government
v. Selection of State level PMU and Implementation Agency, if any
vi. Review of the deliverables by NIC / implementation agency
vii. Relevant policy changes as required for the development and implementation of the project at the State level
viii. Commit appropriate funds to be given as States / UTs share
ix. Provide funds and support to NIC / implementation agency for implementation & operations
x. Ensure regular use of workflow based application modules for Supply Chain Management and Ration Card management in terms of updation/entry of data on real time basis
xi. Report project implementation progress to Government of India
xii. Report fund utilization to Government of India
xiii. Identification and finalization of State Data Centre sites
xiv. Ensure timely approval to the deliverables submitted by stakeholders
xv. Resolution of disputes that may arise between various stakeholders at State / UT level

c. Food Corporation of India

i. Food Corporation of India (FCI) shall be a key player in the proposed TPDS Computerisation project. Computerisation of Supply Chain involves the tracking of movement of foodgrains from the base depot of FCI up to the Fair Price Shop. To facilitate this process, it is essential that the release of foodgrains from the base depot of FCI be monitored online. Thus the integration of FCI's Release Order module as well as other proposed operational modules under FCI's IISFM project with TPDS supply chain module must be done. The integration of the two systems will be based on application software which is being developed by NIC for FCI under IISFM project and shall be taken up by them in consultation with States / UTs. FCI shall also ensure correct and timely data entry and sharing of the same with State / UTs. FCI will also support and cooperate with NIC and Department of Food & Public Distribution for the required information.

d. National Informatics Centre (NIC)

i. NIC has developed a Common Services Platform (including software application) for TPDS which can be used by all the States/ UTs to computerize its TPDS operations. The software application has been integrated with the FCI Stock movement Module. NIC shall operate through its local offices in each State/UT to ensure support for managing State/UT-wise complexities and variations.

ii. It has to be ensured that all technology solutions developed for end-to-end Computerisation of TPDS operations are integrated, allow seamless data exchange, and should be inter-operable, while being based on open standards. At the national and inter-State levels, NIC will take necessary measures for ensuring inter-operability; prescribe common standards / specifications for data / metadata elements, Point of Sale (PoS) devices, Bio-metrics, Minutiae, Smart Cards, Bar-code, Aadhaar integration, etc. wherever applicable; accessibility of State related data on internet in public domain through a Central portal, executive dashboard for monitoring progress of computerisation, creating and maintaining single unified information system including Management Information System (MIS), etc. NIC shall also ensure appropriate online allocation by DoF&PD and the integration of FCI's IISFM with States / UTs for computerisation of supply-chain.

e. NIC or any other partner agency selected by State / UT

i. Design, develop and provide required application software / modules for end-to-end Computerisation to States / UTs

ii. Knowledge transfer / sharing, training to State Governments / NIC State units regarding application software / modules including customisation of the same as per their needs
iii. Provide support handholding / support for implementation of application software at State / UT level
iv. Provide maintenance and support for application software
v. Ensure quality of deliverables
vi. Cooperation with States & UTs, & Centre and SIOs of NIC

ARTICLE 5 - EVALUATION OF THE SCHEME

XIII. Assessment of the Scheme through third party shall be carried out after three years in terms of the administrative approval. DoF&PD will finalise and issue necessary instructions / guidelines to States / UTs for the same.

XIV. In case of any dispute on any matter related to the Scheme during the course of its implementation, the decision of DoF&PD, Government of India shall be final and binding.

IN WITNESS WHEREOF the parties, through their authorised signatories, to these presents have hereunto set and subscribed their respective hands and seals on the th day of 2012.

For and on behalf of	For and on behalf of
Department of Food & Public Distribution	National Informatics Centre
Government of India	
Name:	Name:
Designation: Joint Secretary	Designation: Dy. Director
General	
Date:	Date:
Place: New Delhi	Place: NEW DELHI
WITNESSES:	WITNESSES:
1. ____________________	1.
____________________	
2. ____________________	2.
____________________	

Annexure II

Institutional Mechanism – Centre

EMPOWERED COMMITTEE STRUCTURE

I. Secretary, DoF&PD - Chairman
II. Addl. Secretary & FA, DoF&PD
III. Chairman cum Managing Director, FCI
IV. Jt. Secretary (BPPD), DoF&PD
V. Jt. Secretary (Comp.), DoF&PD
VI. Representative of D/o Information Technology (not below rank of Jt. Secretary)
VII. Director General, National Informatics Centre
VIII. Food Secretaries of States/UTs - Andhra Pradesh, Chhattisgarh, Gujarat, Meghalaya and West Bengal

CENTRAL PROJECT E-MISSION TEAM (CPeMT)

I. Jt. Secretary (Comp.), DoF&PD
II. Executive Director, FCI
III. Director / DS (Comp.), DoF&PD
IV. Representative of D/o Information Technology
V. Representative of National Informatics Centre
VI. Director F&CS Deptt. of States/UTs - Chhattisgarh, Gujarat, Gujarat, NCT of Delhi and West Bengal

Annex III

Institutional Mechanism – State

STATE APEX COMMITTEE

I. Chief Secretary - Chairman
II. Secretary (In-charge)
III. Representative of Finance Deptt.
IV. HODs of Concerned Deptt.
V. State IT Secretary
VI. NIC representatives
VII. Any other member as may be decided by the Chairman

STATE PROJECT E-MISSION TEAM (SPeMT)

I. Secretary (In-charge) as Mission Leader
II. Dedicated full-time HOD / Director / Spl. Secretary
III. Internal domain specialist (full time)
IV. Internal technical full time representatives
V. Representatives from SeMT / State IT Deptt. (full time)
VI. Full time NIC representative(s)
VII. Any other member as may be decided by the Chairman

Annexure-IV

Leveraging existing infrastructure / platform

- NIC has offered its application software(s) for the scheme which can be used by States/UTs as per their requirements.
- The existing pilot Schemes i.e. 'Computerization of TPDS Operations' and Non-plan Scheme 'Smart Card based delivery of Essential Commodities' would be subsumed in this Plan Scheme for End-to-end Computerization of TPDS Operations.
- E-District scheme of Department of Electronics and Information Technology (DeitY) could be leveraged for PDS Computerisation along with State Service Delivery Gateway (SSDG) and Mobile Services Delivery Gateway (MSDG) by States/UTs appropriately.
- National Data Centres (NDCs) and State Data Centres (SDCs) created under the National eGovernance Programme (NeGP) of DeitY would be used for hosting the required solution, data centre infrastructure and databases. The existing infrastructure such as National Data Centres (NDCs) or State Data Centres (SDCs) etc. would be leveraged for hosting the applications at the State level without the need for creating separate/dedicated data centre environments for PDS.
- For leveraging Aadhaar Platform in PDS, States / UTs have been advised from time to time by the Department to digitise and create beneficiary database, leverage Aadhaar for identification of beneficiaries and de-duplication of ration card database for weeding out the ineligible bogus ration cards. The application software of NIC is capable of capturing Aadhaar numbers in the beneficiary database once the same are assigned.

Annexure-V

Admissible Sub-Components

Components and their sub-Components	Description	Funding type
Digitisation		
Digitization & printing of Ration Cards	Creating digitised records of ration cards by way of manual data entry / scanning / comparing existing database with other database / leveraging Aadhaar or NPR data as the case may be.	One time
Supply-Chain Management		
Data Centre Infrastructure	This cost includes cost of servers, storage, application software, etc. for National / State Data Centres, hosting of digitised data of ration cards, FPSs, etc. The cost is same across all States / UTs for end-to-end Computerisation of TPDS Operations.	One time
State Food & Civil Supplies (FCS) Hqtrs	For State HQ, desktops / laptop (with webcam) provisioned for data entry, online allocation, utilisation reporting, monitoring of operations of TPDS in respective State/UT. Requisite infrastructure / accessories are also provisioned for smoother functioning of day to day operations.	One time
District FCS Office	For District HQ, Desktops / laptop (with webcam) provisioned for data entry, online allocation, utilisation reporting, monitoring of operations of TPDS in respective State/UT. Requisite infrastructure / accessories are also provisioned for smoother functioning of day to day operations. Bandwidth/ connectivity cost has also been provisioned in this head.	One time + bandwidth expenses
Block FCS Office	For Block HQ, desktops / laptop (with webcam) provisioned for data entry, online allocation, utilisation reporting, monitoring of operations of TPDS in respective State/UT. Requisite infrastructure / accessories are also provisioned for smoother functioning of day to day operations. Bandwidth/ connectivity cost has also been provisioned in this head.	One time + bandwidth expenses
State Godowns	For State Godowns, desktops / laptop has been provisioned for data entry, online stock reporting, movement and transportations of foodgrains along with accessories for smoother functioning of day to day operations. Bandwidth/ connectivity cost has also been provisioned in this head.	One time + bandwidth expenses
Project Management Unit	PMU have been provisioned for three year which shall help the State FC&S Department for implementation of Scheme, monitoring of progress, reporting, bid-process management, etc.	Three years only
Training	For smoother functioning of the Computerised system,	One time for

Components and their sub-Components	Description	Funding type
	State F&CS officials / staff at various levels are to be imparted training on the use of technology and day to day operations. This shall be one time activity and to be planned keeping in mind the needs of the State F&CS officers.	F&CS Officials and staff
Technical Support	In order to ensure that State F&CS officials get acquainted to the new computerised system, there is a provision of putting certain resources at State HQ, District HQ and Block HQ who shall be help in handholding for initial period.	One time (3 Months to 1 Year period)
Application Support	Shall be in regards to the customisation, hosting, support, operations and management of the Application Software. This is based on the suggestions received from NIC.	One time during Project term
STQC	It is also desired to have audit in order to ensure that the application software is error free, relevant with the State specific needs and able to operate during higher level of transactions,	One time
Transparency Portal & Grievance redressal		
SMS Cost	SMS alerts are sent to pre-registered individual with an objective to inform the availability of foodgrains in the respective FPS.	One time infrastructure + Recurring expenses
Awareness Cost	Beneficiaries / citizens shall be apprised using print, radio, etc. in respect to the advantage of the new computerised TPDS systems and also regarding information available on State PDS Portal, SMS alerts, email, etc.	Year wise - Project term
Toll free Call Centre	Beneficiaries / Citizens can call toll free help lines for (i) resolution of their grievances, if any; and (ii) getting information related to TPDS operations.	One time infrastructure + recurring expenses
Portal	Dissemination of all TPDS related information to public through State PDS Portal.	One time
Miscellaneous		
Assessment	Scheme Assessment shall be undertaken to assess the efficacy of the computerised system from various aspects.	As per DoF&PD guidelines
AMC Component	Annual Maintenance changes (AMC) shall be @10% per annum for all the IT hardware / software procured as part of the scheme.	Year wise - Project term

Annexure-VI

Cost Estimation for providing financial assistance for the period 2012-17

<table>
<tr><th>S. No.</th><th>Activity Description</th><th>Cost estimation
(all estimates are on one-time basis except where indicated otherwise)</th></tr>
<tr><td>A.</td><td>Data Centre Infrastructure</td><td>Rs. 1.25 Crore per State / UT
This is based on response received from NIC vide letter dtd 23.11.11. This cost includes servers, storage, application software, etc. for State Data Centres, DR site backup, hosting of digitized data of ration cards, transaction data, etc.</td></tr>
<tr><td>B.</td><td>State FCS Hq</td><td>Cost estimates per State / UT
<table>
<tr><th>Cost Head</th><th colspan="2">No. of Units</th><th>Unit Cost</th><th>Total Cost</th></tr>
<tr><td></td><td>Department</td><td>Civil Supplies Corporation</td><td></td><td></td></tr>
<tr><td>PCs & System Software</td><td></td><td></td><td></td><td></td></tr>
<tr><td>Desktop/Laptop with webcam</td><td>5</td><td>3</td><td>30,000</td><td>240,000</td></tr>
<tr><td>Laser/Dot Matrix Printer</td><td>3</td><td>2</td><td>7,000</td><td>35,000</td></tr>
<tr><td>MS Office License</td><td>5</td><td>3</td><td>12,000</td><td>96,000</td></tr>
<tr><td>UPS</td><td>5</td><td>3</td><td>11,500</td><td>92,000</td></tr>
<tr><td>LAN All In One Printer</td><td>1</td><td>0</td><td>120,000</td><td>120,000</td></tr>
<tr><td>Networking</td><td></td><td></td><td></td><td>0</td></tr>
<tr><td>Cabling and Switches (Per PC)</td><td>5</td><td>3</td><td>5000</td><td>40,000</td></tr>
<tr><td>Total Expenditure / State</td><td></td><td></td><td></td><td>623,000</td></tr>
</table></td></tr>
<tr><td>C.</td><td>District F&CS Office</td><td>Cost estimates per District
<table>
<tr><th>Cost Head</th><th colspan="2">Units</th><th>Unit Cost</th><th>Total Cost</th></tr>
<tr><td></td><td>Department</td><td>Civil Supplies Corporation</td><td></td><td></td></tr>
<tr><td>PCs & System Software</td><td></td><td></td><td></td><td></td></tr>
<tr><td>Desktop/Laptop with webcam</td><td>3</td><td>2</td><td>30,000</td><td>150,000</td></tr>
<tr><td>Dot Matrix Printer</td><td>2</td><td>1</td><td>7,000</td><td>21,000</td></tr>
<tr><td>MS Office License</td><td>3</td><td>2</td><td>12,000</td><td>60,000</td></tr>
<tr><td>UPS</td><td>3</td><td>2</td><td>11,500</td><td>57,500</td></tr>
<tr><td>Networking</td><td></td><td></td><td></td><td></td></tr>
<tr><td>Cabling and Switches (Per PC)</td><td>3</td><td>0</td><td>5000</td><td>15,000</td></tr>
<tr><td>Internet Broadband cost for <u>5 years</u> - @Rs. 1000 per month</td><td>5</td><td>0</td><td>12000</td><td>60,000</td></tr>
<tr><td>Total Infrastructure Setup /District</td><td></td><td></td><td></td><td>363,500</td></tr>
</table></td></tr>
<tr><td>D.</td><td>Block F&CS</td><td>Cost estimates per Block / Tehsil / Mandal
<table>
<tr><th>Cost Head</th><th>Units in</th><th>Unit Cost</th><th>Total Cost</th></tr>
<tr><td></td><td>FCS Department</td><td></td><td></td></tr>
<tr><td>PCs & System Software</td><td></td><td></td><td></td></tr>
<tr><td>Desktop/Laptop with webcam</td><td>2</td><td>30,000</td><td>60,000</td></tr>
<tr><td>Laser/Dot Matrix Printer</td><td>1</td><td>7,000</td><td>7,000</td></tr>
<tr><td>MS Office License</td><td>2</td><td>12,000</td><td>24,000</td></tr>
<tr><td>UPS</td><td>2</td><td>11,500</td><td>23,000</td></tr>
<tr><td>Networking</td><td></td><td></td><td></td></tr>
<tr><td>Cabling and Switches (Per PC)</td><td>2</td><td>5000</td><td>10,000</td></tr>
<tr><td>Internet Broadband cost for <u>5 years</u> - @Rs. 1000 per month</td><td>5</td><td>12000</td><td>60,000</td></tr>
<tr><td>Total Infrastructure Setup / Block</td><td></td><td></td><td>184,000</td></tr>
</table></td></tr>
<tr><td>E.</td><td>State Godowns</td><td>Cost estimates per State Godown</td></tr>
</table>

S. No.	Activity Description	Cost estimation (all estimates are on one-time basis except where indicated otherwise)

Capex (IT Infrastructure)			
Cost Head	Units	Unit Cost	Total Cost
Desktop/Laptop with webcam	1	30,000	30,000
Laser/Dot Matrix Printer	1	7,000	7,000
MS Office Licenses	1	12,000	12,000
UPS	1	11,500	11,500
Networking			
Cabling and Switches (Per PC)	0	5,000	0
Internet Broadband cost for 5 years @Rs. 1000 per month	5	12000	60,000
Total Expenditure / Depot			120,500

F. Project Management Unit (PMU)

PMU at States				
Cost Heads - States	Unit Man-month cost	Man Months	Units	Cost
Consultant / Project Manager	195,000.00	12	1	2,340,000.00
Jr. Consultant	145,000.00	12	1	1,740,000.00
Office Assistant / Data entry operator	20,000.00	12	2	480,000.00
				4,560,000.00

	Unit Cost	Total State & UTs	One Year Cost	Three Year Cost
Project Management (State/UT)	4,560,000	35	159,600,000	478,800,000

G. Training

i. Number of Officials / Staff to be trained one times @ Rs. 2500 each: 5 at State Hqrs, 5 at District, 3 at Block and 2 at State Godowns.

This shall be based on no. of Districts, blocks, and Godowns in a State.

H. Technical Support in F&CS Offices

This shall be based on no. of Districts, blocks, Godowns and FPS shops in a State. Per person man-month cost for technical support and handholding @Rs. 25,000/-.

i. 1 person for 12 months at State HQ
ii. 1 person for 6 months at District F&CS office
iii. 1 person for 6 months at Block F&CS office
iv. 1 person for 3 months at State Godown

I. Application Support

Based on NIC's email dtd 13.07.12 - cost of application customization, configuration, deployment at National Data Centre (NDC) or State Data Centre (SDC), maintenance, project management and other contingency charges including communication travel etc. for various States. It includes provision of programmers, system administrator for running the application at NDC/SDC, etc.

i. Rs. 1,14,00,000/- per Large State *
ii. Rs. 70,00,000/- per Small State

J. STQC Audit

Rs. 10 lakh per State / UT

K. SMS Cost

i. SMS gateway related infrastructure @ Rs. 3.80 lakh per State

Description	Qty.	Unit Cost	Total (INR)
Application Software	1	150,000.00	150,000.00
Application Server	1	200,000.00	200,000.00
SMS Modem	1	30,000.00	30,000.00
Sum Total (Per State)			380,000.00

ii. Mobile SMS related costs

- Nos. of SMS sent per Month per FPS à 20
- Cost of One SMS à Rs. 0.10

This shall be based on no. of FPS shops in a State. Support under the scheme for 5 years period.

L. Awareness Cost

Support for this activity shall be for 5 years period.

Awareness Cost per FPS per year	Rs. 50

M. Toll free Call Centre

The basis of cost estimates are as:

i. 4 Toll free lines per Large State and 2 in case of Small States*
ii. All States / UTs categorised into 22 Large States and 13 Small States
iii. Per Line Charges = Rs. 46,600/- per month (Manpower Charges @ Rs. 25,000/-

S. No.	Activity Description	Cost estimation (all estimates are on one-time basis except where indicated otherwise)
		p.m. per seat + Telecom charges @Rs. 21,600/- per month per line). Support under the scheme for 5 years period. iv. Infrastructure support of Rs. 1.5 Lac per State / UT (one time)
N.	Portal	Rs. 20 lakh per State / UT
O.	Assessment	Rs. 6 lakh per State / UT
P.	Digitization	Support for this activity shall be one time. i. Cost of digitisation per beneficiary record @ Rs. 5/- ii. Cost of printing @ Rs. 3/- per Ration Card
Q.	AMC	Support for this activity shall be for 5 years period. Per year AMC shall be calculated @10% of Infrastructure cost estimates

* 13 States/UTs are categorised as Small States i.e. having less than 5 lakh ration cards viz. Andaman & Nicobar Islands, Arunachal Pradesh, Chandigarh, Dadra & Nagar Haveli, Daman & Diu, Goa, Lakshadweep, Manipur, Meghalaya, Mizoram, Nagaland, Puducherry and Sikkim.